
CZECH REPUBLIC

2012

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1. Overview of the tax-benefit system

Czech citizens are secured (protected) by three social security systems, i.e. by the social insurance, state social support and social assistance.

The social insurance system addresses such social circumstances as one may get prepared for in advance by depositing certain funds that will serve to solve future social situations. The system includes the unemployment insurance, sickness insurance and pension insurance. Social insurance is funded through contributions made by the employees and employers and by contributions from the state. The system is further complemented with the health insurance.

The state, through the state social support, contributes mainly to the families with dependent children who have encountered a recognised social situation, which the family is unable to manage using its own efforts and means. The system applies the solidarity principle between the high-income families and low-income families, as well as between the childless families and those with children. At assessing claims for the benefits, the family property is not tested, while the income is reviewed in case of certain benefits. The income is currently subject to examination for the purpose of claims for the child allowance, birth grant and housing allowance. The income is not examined for the purposes of the parental benefit, foster care benefits and funeral grant.

The state, through the social assistance (assistance in material need), provides assistance to persons or families that do not have sufficient income and their overall social and property relations prevent them

from enjoying what the society accepts to be basic living requirements. At the same time, those persons are objectively unable to increase their income through one's own work, through the due application of entitlement and claims or through the sale or other disposal of one's own assets and thereby improving their situation through their own actions.

Living and subsistence minimums are stipulated by special legislation and represent a cornerstone in determining the claim on some benefits and their amounts. Child allowance and birth grant in the system of the state social support are based on the institute of living minimum, living and subsistence minimums exist as a criterion for allowance for living in the system of assistance in material need. Amounts of living minimum are different for single person, first adult in household, another adult in household and for children (three categories according to age) and ensure sustenance and other basic personal needs of the household members. The subsistence minimum, in addition to living minimum, ensures personal needs on surviving level (it contains sustenance and about 40 % of other basic personal needs in living minimum). Housing needs are solved separately, through housing allowance in the state social support system and supplement for housing in the system of assistance in material need.

In general, unemployed persons can receive unemployment benefits for a maximum period of 11 months.

The tax unit is an individual, since 2005 married couples with children are taxed either separately or jointly (using the income splitting method). When a flat rate of income tax (15 %) was introduced on 1st January 2008, this option became irrelevant. Deductible items for spouse under given income and tax credits for dependent children are administered.

1.1. *Average worker wage (AW)*

The 2012 AW earning level is estimated to be CZK 300421 ¹.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2009-2010*, OECD, 2011, part 5, sections 2 and 3

2. Unemployment insurance

2.1 *Conditions for receipt*

The job seeker is not entitled to unemployment benefits if:

- The employment was terminated by the employer within the last 6 months before the job seeker was registered in database of jobseekers due to his/her breach of obligations arising from legal regulation pertinent to his/her job in an especially gross manner; the same shall apply if other employment relationships was terminated for similar reasons;
- The employment was terminated by the employer for breach of other obligation of an employee under the Labour Code in an especially gross manner in the last 6 months before his inclusion in register of job seekers;
- He/she has the right to a severance payment or pay-off pursuant to special legal regulations, where this would be higher than the unemployment benefits;
- He/she, as of the date for which the unemployment benefit is to be granted, performs activities on the basis of a work or service relationship, provided the monthly remuneration does not exceed half the minimum wage, or activities on the basis of an agreement for work performed outside a working relationship, provided that the monthly remuneration or average monthly remuneration for the time worked does not exceed half of minimum wage (the jobseeker is still kept in the registry and is, therefore, eligible to other means of assistance from the Labour Office, incl. payment of the social and health insurance contributions).

The obstacle for inclusion into the register of job seekers is if a natural person without giving a serious reason terminates of her/his own accord or under the agreement with an employer suitable employment mediated by the regional branch of the Labour Office, or if an employer terminates suitable employment with the natural person mediated by the regional branch of the Labour Office as a result of a breach of an obligation arising from legal regulations concerning the work performed in a gross manner.

The regional branch of the Labour Office shall decide to remove the job seeker from the register of job seekers e.g. if he/she without serious reason refuses to take up a suitable employment or refuses to commence an agreed retraining programme.

A job seeker is entitled to unemployment benefit if he/she has: a) gained 12 months of insurance within the pension scheme on the basis of his/her employment or self-employment in the last 2 years preceding the registration; b) applied for the unemployment benefit at the Labour Office of the Czech Republic (hereinafter referred to as “the Labour Office”) while being registered as a job seeker; c) is not a recipient of an retirement pension on the day on which the unemployment benefit is due to be approved. The Labour Office shall decide whether to provide unemployment benefit.

There are activities considered by law as a substitute period of employment while assessing the entitlement to unemployment benefit:

- a) Preparation of disabled persons for work (a part of work rehabilitation process – Section 72 of Act on Employment);
- b) Drawing full disability pension;
- c) Personal care of a child under the age of 4;
- d) Personal care of a natural person who is, under the terms of a special legal regulation, deemed to be a person dependent on the assistance of another natural person classified as grade II (moderate dependence), grade III (severe dependence) or grade IV (total dependence),

provided he permanently resides with the job seeker and they both contribute to their common needs; these conditions shall not be required if this person is deemed to be a “close person” for the purposes of pension insurance;

- e) Long-term voluntary service exceeding an average of at least 20 hours in a calendar week on the basis of a volunteer contract from the posting organization which was accredited by the Ministry of the Interior, or a public works service exceeding an average of at least 20 hours in a calendar week on the basis of a contract;
- f) Personal care of a person under the age of 10 who is, under the terms of a special legal regulation, deemed to be a person dependent as grade I.

Retraining allowance:

The entitlement to retraining allowance can be asserted by a job seeker who attends a retraining course provided by the regional branch of the Labour Office and is not, as of the date, as of which the retraining allowance is to be granted, a beneficiary of an old-age pension.

The regional branch of the Labour Office shall decide to award a retraining allowance which is provided for the entire period of the retraining course. The retraining allowance shall not be paid to job seekers during the provision of an old-age pension, during the provision of health insurance benefits and during detention.

2.1.1 Employment conditions

Since 1 October 2004, when the new Employment Act came into force, the entitlement to unemployment benefits has been based on the period of contributions on employment policy, which is a mandatory contribution dedicated from monthly salary (1,2 % from salary expenses, see section 10.3).

2.1.2 Contribution conditions

Job or self-employment activity, on the basis of which there is gained 12 months of insurance within the pension scheme in the last 2 years preceding the registration .

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

From 1st January 2009 till January 2011: 65 % in the first two months, 50% in the following two months and 45 % in the remaining months of supporting period of last earned income net of tax and social security contributions; however, the unemployment benefit is capped at amount equal to 0,58 times of the average wage in national economy within the first three quarters of the calendar year preceding the calendar year in which the application for unemployment benefits was submitted.

Since 1st January 2011: In case the jobseeker quits him/herself a job without serious reason or agreed on job termination with his/her employer preceding his/her Labour Office registration, the unemployment benefit amounts to 45% of average monthly net wage for the duration of the benefit period (compared with 65% for the first two months, 50% in the following 2 months and 45% in the remaining months).

During the period of retraining the job seeker engaged in retraining receives 60 % of last earned income net of tax and social security contributions; The maximum rate of retraining allowance is set at 0.65 times the average national wage for the first to the third quarter of the calendar year preceding the calendar year

in which the job seeker commenced the retraining. In case that job seekers are not entitled to regular retraining allowance the allowance shall be set at 0.14 times the national average wage for the first to the third quarter of the calendar year preceding the calendar year in which the job seeker commenced the retraining course.

2.2.2 *Income and earnings disregards*

From 1st January 2011: The job seeker is allowed to earn half of the minimum wage in a month, however, he/she loses the entitlement to draw unemployment benefits during this time of employment. The monthly minimum wage has been CZK 8000 since 1st January 2007.

2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

2.4 *Benefit duration*

The support period is:

- a) 5 months for job seekers under 50 years;
- b) 8 months for job seekers between 50 – 55 years;
- c) 11 months for job seekers over 55 years.

The unemployment benefits are not provided to job seekers mentioned in section 2.1.

A job seeker who has exhausted the entire period of support in the past 2 years before being included in the register of job seekers, has the right to receive unemployment benefit for the new whole support period if he/she, after exhausting this period, started to work or entered into gainful activity involving the obligation to pay premiums for pension insurance for a period of at least 6 months.

This period of 6 months shall not be required in cases when the job seeker terminated the employment or gainful activity for health reasons or for reasons set forth in a special legal regulation (e.g. termination of employment due to layoffs etc.) or because the employer breached a fundamental obligation arising from legal regulations, a collective agreement or agreed working conditions. At the same time, the condition concerning the entire period of previous employment must be complied with – see 2.1.2.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No special treatment as regards providing of unemployment benefits.

2.5.2 *Older workers*

See section 2.4

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2.5.3 *Others if applicable*

Disabled people are entitled to retraining allowance, providing they attend a retraining course as a part of work rehabilitation (according to Employment Act), regardless whether they are registered or not as jobseekers.

3. Unemployment assistance

3.1 Conditions for receipt

3.1.1 Employment conditions

None.

3.1.2 Contribution conditions

None.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

3.2.2 Income and earnings disregards

A job seeker is allowed to earn half of the minimum wage in a month without losing the entitlement to the benefit only during retraining ("retraining benefit"). The monthly minimum wage has been CZK 8000 since 1st January 2007.

3.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

3.4 Benefit duration

The benefit during retraining is provided for the whole period of retraining. Any time when the job seeker undergoes the retraining, she/he is granted the retraining benefit.

3.5 Treatment of particular groups

3.5.1 Young persons

No special treatment as regards retraining benefits.

3.5.2 Older workers

No special treatment as regards retraining benefits.

3.5.3 Others if applicable

A disabled person is entitled to the retraining benefit during the period of his/her vocational training, even if he/she is not registered as a job seeker

4. Social assistance

The purpose of social assistance¹ is to prevent social exclusion and deprivation. The state, through social assistance, provides assistance to citizens who need such it because of their state of health or their age, who are unable to overcome a difficult life situation or adverse circumstances without help from the state, to persons whose subsistence needs are not sufficiently covered by income from a gainful occupation, pension or sickness insurance benefits, or by other income.

Social assistance includes social services and cash benefits (benefits in material need, benefits for people with disabilities, care allowance). The Assistance in Material Need Act² lays down the situations of inadequate means of subsistence or housing, and defines emergencies, all of which are known as cases of material need. Those are basically situations where a person or jointly assessed persons do not have sufficient income and their overall social and financial situation prevents them from enjoying basic living standard. At the same time, these persons are objectively unable to increase their income. The Assistance in Material Need Act also deals with certain special circumstances in life that can only be resolved by immediate assistance.

Payment rates, durations or aspects of means testing of social assistance benefits do not depend on the age of the claimant or his/her family member.

4.1 Conditions for receipt

Benefits of assistance in material need are means-tested. Means (property, income etc.) of all household members - jointly assessed persons - are taken into account.

Allowance for living is provided to a person or a family with insufficient income to ensure basic needs (except for needs related to housing) and these persons are not able to increase it due to objective reasons. Persons in material need are entitled to the allowance for living if their income or the income of the jointly assessed persons is lower than the amount of living.

Supplement for housing is provided to a person or a family in case of insufficient income to cover reasonable housing costs. A precondition of an entitlement to a supplement for housing is the existence of an entitlement to allowance for living and an entitlement to a housing allowance from the system of state social support. A supplement for housing may be granted (with consideration for the overall social and financial status) to persons who have not been granted the above- mentioned benefits.

Extraordinary immediate assistance is provided in adverse or exceptional situations where persons are not in material need but it would be advisable to provide them with assistance per saltum.

To become eligible to benefits in material need the conditions are: residence, impossibility to increase one's own income by using own efforts, in particular by gainful activities, through due application of entitlements and claims, through the sale or other disposal of the persons' property to remedy his or her present situation. In case of unemployment, the unemployed person has to be registered as a job seeker, be active in job search and accept an offered job or participation in an active employment policy programmes (unless having a serious reason to refuse it) and upon request take up short-term employment or participate in public works or public works service. Effort to obtain income through working is not required from old age and invalidity pensioners, persons over 65, dependent children, parents caring for children, careers of

² Act no.111/2006 Coll., On Assistance in Material Need, as amended.

care-dependent person, and persons who are temporary sick, meeting other prescribed conditions. In case of family with children, proper compulsory school attendance of children is demanded.

Assistance in material need benefits can be received at the same time as other benefit (unemployment benefits, family benefits, and benefits for people with disabilities or care allowance).

Benefits are designed to motivate people to find work and take on any job, and even a part-time or lower paid job. The system gives (financially) preferential treatment to those recipients of benefits in material need who are active job seekers or who are working: incomes from gainful activities are calculated for in part only (70 % in the case of income from employment, 80 % in the case of sickness insurance and unemployment benefits). On the other hand, recipients who do not collaborate e.g. in job-search receive lower benefits.

Care allowance

The care allowance (hereafter the “allowance”) is provided to persons who are due to their long term unfavourable health condition dependent on another person’s assistance when dealing with basic living needs reflected in the International Classification of Functioning, Disability and Health.

There are 4 levels of dependence:

- a) Grade I (slight dependence);
- b) Grade II (medium-heavy dependence);
- c) Grade III (heavy dependence);
- d) Grade IV (total dependence).

When determining the level of dependence, the ability to manage the following 10 basic needs is evaluated: mobility, orientation, communication, self-feeding, putting on clothes and footwear, washing oneself, toileting, looking after one’s health, personal activities, household tasks.

The allowance provided to persons below 18 years of age in a calendar month is:

- a) CZK 3 000, in the case of grade I (slight dependence),
- b) CZK 6 000, in the case of grade II (medium-heavy dependence),
- c) CZK 9 000, in the case of grade III (heavy dependence),
- d) CZK 12 000, in the case of grade IV (total dependence).

Children under one year of age are not entitled to the allowance.

The allowance provided to persons over 18 years of age in a calendar month is:

- a) CZK 800, in the case of grade I (slight dependence),
- b) CZK 4 000, in the case of grade II (medium-heavy dependence),
- c) CZK 8 000, in the case of grade III (heavy dependence),
- d) CZK 12 000, in the case of grade IV (total dependence).

The allowance is increased by CZK 2 000 for recipients (dependent children below 18 years of age and parent of dependent children below 18 years of age) if the income of the family is under 2.0 family’s living minimum

4.2 *Calculation of benefit amount in the system of assistance in material need*

4.2.1 *Calculation of gross benefit*

The amount of the allowance for living is set as the difference between the amount of living of a person/jointly assessed persons and the income of that person/ jointly assessed persons less reasonable housing costs. The amount of living of a person/ jointly assessed persons is determined with regard to income, the opportunities to increase this income, financial status and other circumstances (e.g. costly dietary requirements, the duration of the material need, and an active approach in the search for employment). The amount of living is derived from the living minimum and subsistence minimum and is set on a case-by-case basis based on an evaluation of the person's efforts, opportunities and needs.

The amount of the supplement for housing is calculated in such a manner that the amount by which the income of the relevant person/jointly assessed persons (including any disbursed allowance for living) exceeds the amount of living of that person/jointly assessed persons is deducted from the amount of reasonable housing costs in a given calendar month (reduced by the housing allowance from the system of state social support for the previous calendar month). Reasonable housing costs include rent (up to the limit stipulated by law³), services related to housing, energy costs.

Living minimum – monthly amounts:

single:	CZK 3 410
first person in household:	CZK 3 140
second and other persons who are not a dependant child:	CZK 2 830
dependant child	
• under 6 years:	CZK 1 740
• 6 - 15 years:	CZK 2 140
• 15 - 26 years:	CZK 2 450

Subsistence minimum – monthly amount:	CZK 2 200
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The necessary costs of housing are not included in the sums of living minimum and subsistence minimum since 01.01.2007.

Examples of living minimum for:

Single person household:
CZK 3 410

One adult with one child aged 7 years:
 $3\,140 + 2\,140 = \text{CZK } 5\,280$

Two adults and two children aged 5 and 11 years:
 $3\,140 + 2\,830 + 1\,740 + 2\,140 = \text{CZK } 9\,850$.

³ Act no.107/2006 Coll., On One-side Rise in Rent from Apartment, as amended.

Subsistence minimum (instead of living minimum) is used for calculation of allowance for living for adult person as a "sanction" for not meeting certain conditions prescribed by the Act⁴.

4.2.1.1 *Irregular additional payments*

Extraordinary immediate assistance is provided to persons who find themselves in situations that have to be resolved immediately. The Act addresses six situations that justify these additional benefits:

- Where persons, due to a lack of funds, face a serious threat to their health. The benefit tops up a person's income so that it is level with the subsistence minimum (or the living minimum in cases of dependent children).
- Where persons are victims of a serious extraordinary event (a natural disaster, storms and gales, ecological disaster, fire, etc.) The maximum amount of the benefit is 15 times the individual's living minimum, i.e. up to CZK 51 150.
- Where persons do not have sufficient resources to cover essential one-off expenditure connected, in particular, with the payment of an administrative fee for duplicate copies of personal documents or in cases of monetary loss. The maximum amount of the benefit is the amount of this one-off expenditure.
- Where persons do not have sufficient resources to acquire or repair basic furniture or. The amount of the benefit may be a maximum of the specific expense, but the sum of benefits granted must not exceed ten times the individual's living minimum in one calendar year, i.e. to an amount of CZK 34 100.
- Where persons do not have sufficient resources to cover justified costs relating to the education or special interests of dependent children or ensuring necessary activities of social and legal protection of children. The amount of the benefit may be a maximum of the specific expense, but the sum of benefits granted must not exceed 10 times the individual's living minimum in one calendar year, i.e. to an amount of CZK 34 100.
- Where persons are at risk of social exclusion. This concerns, for example, the situation of persons who have been released from custody or from prison, who have left an orphanage or foster care on reaching adulthood, or who have completed treatment for an addiction. A benefit of up to CZK 1 000 CZK may be granted. The benefit may be awarded repeatedly, but the sum of benefits granted in one calendar year may not exceed four times the individual's living minimum, i.e. the amount of CZK 13,640.

4.2.1.2 *Obligations of family members*

Assistance in material need is based on a concept of jointly assessed persons. Relevant work-availability or job-search requirements must be met by all members of the household, provided they are not old age and invalidity pensioners, persons over 65, dependent children, students, parents caring for children, careers of care-dependent person, persons who are temporary sick etc. If the person considered as capable of work does not comply with prescribed conditions of employment activity the amount of allowance of living (calculated for the entire household) is reduced.

The entitlement to unemployment benefits relates strictly to a job seeker himself/herself – it means that this entitlement can be affected only if the job seeker himself/herself does not comply with the legal job search or work-availability conditions; non-compliance on the side of his family members can affect only the personal entitlements of those members but not the entitlement of the job seeker himself/herself.

⁴ Act no.111/2006 Coll., On Assistance in Material Need, as amended.

In general, assistance in material need is based on a concept of jointly assessed persons and benefits of assistance in material need are designed to motivate people to work. The system gives (financially) preferential treatment to those recipients of benefits in material need who are active job seekers or who are working. Recipients who do not collaborate e.g. in job-search receive lower benefits.

Unemployed persons have to be registered as job seekers, be active in job search and accept an offered job (and even a part-time or lower paid job) or participation in an active employment policy programmes and upon request take up short-term employment or participate in public works or public works service organized by municipalities. Provided that persons do not fulfil these conditions, they are not deemed to be persons in material need. Relevant work-availability or job-search conditions are not required from old age and disability pensioners, persons over 65, dependent children, parents caring for children (when receiving maternity benefit or parental allowance), careers of care-dependent person, persons who are temporary sick, etc.

With a certain simplification: if the family member considered as capable of work does not comply with prescribed conditions of employment activity she/he is not treated as a person in material need. When calculating allowance for living for the entire family, income (possible income) of this person is included in income of the family decisive for benefit's entitlement but as she/he is not deemed to be a person in material need her/his amount of living is not taking into account and the total amount of allowance for living is reduced by the amount of living of the family member not complying with job search or work-ability conditions.

This rule was introduced by the Act of Assistance in Material Need and has been applied since 2007. Under the previous legislation (Act on Social Neediness), similar situations were solved in different manner. If the family member (one of jointly assessed persons) did not meet the prescribed conditions the benefit of social assistance due to social neediness was not given to the whole family at all.

4.2.2 *Income and earnings disregards*

See above-mentioned conditions for receipt.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Benefits in material need and benefits for people with disabilities can be received at the same time as in-work earnings and any other benefit.

4.4 *Benefit duration*

Benefits of assistance in material need are provided as long as the given conditions are fulfilled. Persons can apply or re-apply for benefits always when they have not sufficient resources for living and the office has to accept and to judge their application.

4.5 *Treatment of particular groups*

In general, benefits in material need have no special treatment as regards particular groups. But for certain persons (see section 4.1) less strict conditions are applicable.

4.5.1 *Young persons*

In the case of dependent children, the living minimum must be used as a base for calculation of benefit amount.

4.5.2 *Older workers*

None.

4.5.3 *Other if applicable*

In the new system of benefits for people with disabilities (efficient since January 2012) two financial benefits aimed at reduction of social consequences of disability and supporting of social inclusion are provided:

- recurrent obligatory allowance for mobility at the monthly amount of CZK 400 for people who are not able to cope with basic living needs in the field of mobility and orientation;
- one-off obligatory grant for special aid for people with severe disabilities of support and motion apparatus, blind and deaf enabling self-reliance, working activities, education, social contacts, buying or modification of a motor vehicle, adjustment of a flat.

5. Housing Benefits

5.1 Conditions for receipt

Housing allowance is a recurrent, income-tested benefit; income in the previous calendar quarter is tested. The housing allowance is designed to assist low-income families and individuals to cover expenditure connected with housing. The allowance does not cover the whole housing costs; it only makes a contribution to the coverage of housing costs. Housing benefits are granted irrespective of the type of housing. The actual costs of housing paid in the previous calendar quarter are taken into account. Property owners or tenants registered as permanently resident in that property are entitled to a housing allowance if 30 % (in Prague 35 %) of household income is insufficient to cover housing costs and at the same time that 30 % (in Prague 35 %) of household income is lower than the relevant prescriptive costs. A period of benefit's payment is limited to 84 months during the last 10 calendar years. An exception applies to households exclusively consisting of people over 70 years and disabled persons living in flats adjusted for them.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

The amount of housing benefit for a calendar month is calculated as the difference between the prescriptive housing costs and the household's decisive income multiplied by a coefficient of 0.30 (0.35 in Prague). Actual housing cost will be used for the calculation of housing benefits, in case actual costs of housing are lower than prescriptive housing costs.

Prescriptive housing costs are differentiated according to type of housing (tenement, cooperative, private), size of municipality (5 categories), number of persons in a household. Amounts of prescriptive housing costs are set by law⁵ and they are valid for one calendar year.

Prescriptive housing costs for rental units in CZK					
Valid from January 1, 2012 to December 31, 2012					
Number of persons in household	Size of municipality				
	Prague	over 100 000 inhabitants	50 000 - 99 999 inhabitants	10 000 - 49 999 inhabitants	under 9 999 inhabitants
1	7 068	5 616	5 352	4 563	4 379
2	10 144	8 157	7 796	6 715	6 464
3	13 813	11 214	10 742	9 330	9 001
4+	17 269	14 135	13 565	11 862	11 466

⁵ Act no. 117/1995 Coll., On State Social Support, as amended.

Prescriptive housing costs for cooperative and private units in CZK					
Valid from January 1, 2012 to December 31, 2012					
Number of persons in household	Size of municipality				
	Prague	over 100 000 inhabitants	50 000 - 99 999 inhabitants	10 000 - 49 999 inhabitants	under 9 999 inhabitants
1	4 053	4 053	4 053	4 053	4 053
2	6 042	6 042	6 042	6 042	6 042
3	8 421	8 421	8 421	8 421	8 421
4+	10 699	10 699	10 699	10 699	10 699

Decisive income = net income from dependent activity (employment), income from business activity and other independent gainful activity (self-employment), income from lease and other incomes defined under income tax legislation, after the deduction of contributions to health and social insurance and income tax; and also pensions, sickness benefits, unemployment benefits including similar incomes from abroad. For the purposes of the housing allowance calculation, the decisive income includes parental allowance and child allowance. If the decisive income is lower than the living minimum of the family, the living minimum of the family is used for the calculation.

Housing allowance belongs to state social support, it is not a part of assistance in material need. But: a precondition of an entitlement to a supplement for housing from assistance in material need is the existence of an entitlement to a housing allowance from the system of state social support.

5.2.2 *Income and earnings disregards*

See above.

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Housing allowance can be received at the same time as in-work earnings and any other benefit.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

None.

5.4.2 *Older workers*

None.

5.4.3 *Others if applicable*

None.

6. Family benefits

Family benefits (State social support system) consist of:

- a) The benefits related to family income⁶ (child allowance (in section 6), birth grant).
- b) The benefits provided irrespective of income (parental allowance (in section 7.2), foster care allowances, funeral grant).

6.1 Conditions for receipt

Child allowance is the basic income-tested benefit provided to a dependent child with the objective to contribute to the coverage of costs incurred in his upbringing and sustenance. For purposes of family benefits, dependent child is a child up to the age of compulsory school attendance (under 15 years) and further if the child systematically prepares for future occupation (in full-time education at secondary school and university) or is not able to prepare for future occupation due to health reasons or is not able to work due to disability, but maximum up to the age of 26 years. Entitlement to the *child allowance* is bound with certain income criteria. Income of the family in the previous calendar year must be under 2.4 family's living minimum (for amounts of living minimum see tables in the social assistance section).

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Child allowance is provided at three levels depending on the age of the child.

Amount of child allowance according to the child's age (in CZK per month) in 2011

Age of the Dependent Child	Monthly Amount of Child Allowance
under 6 years	500
6-15 years	610
15-26 years	700

6.2.1.1 Irregular additional payments

None

6.2.2 Income and earnings disregards

See above.

⁶ Income which is taken into account for decisions on entitlement to State social support allowances includes income from dependent activity (employment), income from business activity and other independent gainful activity (self-employment), income derived from property, etc., and also sickness and unemployment benefits and pensions, including similar income from abroad. The bulk of the income, which is taken into account for the purpose of these allowances, is defined by the income text legislation. Taken into account is net income after deduction of expenses incurred in generating and maintaining that income, and after deduction of income tax, social insurance contributions, contributions towards the State employment policy and towards health insurance.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Child allowance can be received at the same time as any other benefit or in-work income.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

None.

6.4.2 *Older workers*

None.

6.4.3 *Others if applicable*

None.

Note: Social allowance, which was mentioned in earlier Tax and Benefits Surveys, has been abolished.

7. Childcare for Pre-school children

According the type of founder, pre-school care facilities are divided into public (established by state, regions, municipalities or association of municipalities) and private (established by a church body or church society which are entitled to found religious school facilities and by legal or natural persons). Among public facilities there are crèches and kindergartens. Crèches are childcare facilities for children usually up to 3 years of age. According to Health Service Act No. 372/2011 Coll. which entered into force in April 2012, crèches will cease to exist as a healthcare facility within 12 months on (till April 2013) and will be transformed into a licensed trade afterwards. Kindergartens are facilities for children from 3 to 6 years of age. In the academic year 2010/2011, there were 342 521 children of 3 – 6 years in 4 931 kindergartens (current law considers this preschool education as facultative).

There are special kindergartens for physically and mentally handicapped or socially disadvantaged children. Components of private facilities are running professional trade “securing childcare for children up to 3 years of age” and two trades concerning childcare for children over 3 years of age and then “parent centres” (citizen associations or public benefit associations) that are attended by small children with their parents. The highest percentage of children is in the last year of kindergarten which is, in fact, preparation for new requirements in primary school. According to Ministry of Industry and Trade, there were 880 licences for securing childcare for children under 3 years of age registered on 31st March 2012.

Participation rate in pre-primary education

Child's age	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12
under 3 years	25,30%	26,50%	25,40%	23,00%	23,00%	24,80%	26,80%	27,50%	24,40 %
3 years	80,00%	77,30%	74,60%	76,60%	75,30%	76,50%	76,40%	75,80%	76,70 %
4 years	94,40%	94,20%	90,00%	90,70%	90,90%	89,40%	88,50%	86,90%	86,50 %
5 years	96,00%	96,40%	95,80%	93,70%	93,20%	92,80%	91,70%	91,40%	90,60 %
6 years	25,00%	23,80%	22,70%	22,30%	21,60%	21,00%	20,70%	20,50%	20,50%
over 6 years	-	-	0,50%	0,50%	0,50%	0,50%	0,50%	0,50%	0,50 %

Source: Institute for Information on Education

„Category under 3 years of age“ – Out of 26 % of children who attend daily care facilities for children under 3 years of age only 1-2 % of these children attend special care facilities for children under 3 years of age, 25 % of children between 2 – 3 years of age attend daily care facilities for children over 3 years which are not specialized in such small children. In the 1990s, there was a wholesale close down of care facilities for children under 3 years of age in the Czech Republic: from 1 043 of crèches in 1990 to 46 crèches in 2010. Those facilities were closed down without adequate compensation. This measure was accompanied by support of domestic care for small children by their parent. The reason was interest in child health protection. The capacity of childcare facilities for small children is insufficient in the Czech Republic at the present time and moreover crèches will no longer exist as a healthcare facility.

According to the Education Act No. 561/2004 Coll. §36 compulsory school attendance shall start at the beginning of the school year following the date when a child reaches six (6) years of age, unless he/she is permitted postponement. A child who reaches six years of age at the period between the beginning of a

relevant school year and the end of the calendar year may be admitted to compulsory school attendance in the school year concerned if such a child is physically as well as mentally adequately mature and if his/her statutory representative requests so (the school admittance is in this case assessed also by a school advisory centre; should the child be born between January and June the admittance statement contains also assessment by a school advisory centre and a doctor).

The statutory representative of a child shall be obliged to register the child for compulsory school attendance from 15th January until 15th February of the calendar year during which the child should begin compulsory school attendance.

7.1 Out-of-pocket childcare fees paid by parents

Full-time childcare

The fees in a crèche depend on decisions of the founders and could be within the range from CZK 1 000 to CZK 7 000 per month. The founder has also the right to decide on reducing monthly payments for specific groups of parents – like unemployed, students and single parents. In case of private crèche the fee could be within the range from CZK 5 000 to 18 000 per month (or CZK 660 per day).

Regulation No. 14/2005 Coll. of the Ministry of Education, Youth and Sports on pre-school education, which has been valid since 2005, sets that pre-school education of a child in kindergarten is composed of basic fee adjusted in the relevant calendar year by possible fee reduction. The basic fee is set on accepting the child to the kindergarten and by 1 September of the preceding calendar year.

According to this Regulation the basic fee shall be set in such a way as not to exceed 50 % of the real average non-investment costs per child per month in the past calendar year with the exception of expenses on salaries, reimbursements for salaries, or wages and reimbursements for wages, bonuses for work readiness, bonuses for work done on the basis of contract for work outside of employment and compensation, social security insurance and state employment policy contribution and health insurance, contributions to funds of cultural and social needs and other expenses emerging from industrial relations, on necessary increase in costs associated with education of disabled children, on school equipment and also expenses on further education of pedagogical staff, on activities that are directly connected to school development and education quality, which are provided from the state budget. The basic fee shall be set for the period from 1 September to 31 August of the following school year at the same amount for all children in the relevant kindergarten. Exempt from the fee is a statutory representative of a child who receives benefits of assistance in material need and natural person who personally takes care of the child and receives foster care allowances and proves this fact to the head of the kindergarten.

The basic fee might be reduced to 2/3 of the daily rate for a statutory representative whose child attends the kindergarten 4 hours per day on the grounds of reception of parental allowance by the parent. The fee for calendar month shall be paid by 15th day of the following calendar month provided there is no other agreement between the statutory representative and the head of the kindergarten.

The kindergarten head has also the right to decide on reducing monthly payments for socially deprived parents – approximately one half of kindergartens, where fees are usually paid, money are not collected for kindergarten services from certain groups of parents.

Care in parent centres is often provided as an occasional short-term care either free of charge (if it is provided on volunteer basis by particular mothers) or for a symbolic fee. About 20 % of these centres work on commercial basis.

Private agencies providing childcare are usually used by high income and career-oriented families. Such kind of child care costs CZK 70 – 150 per hour (except Prague) and CZK 130 – 150 per hour in Prague.

Childcare fees are not tax deductible and their amount is not taken into regard in the social assistance system.

Costs expended on running the kindergarten founded by an enterprise under the Education law as a service for its employees, are tax deductible (Act No. 193/2008 Coll., section 24, para. 2, letter j, item 3). In case the employer pays to employees regular wage or salary and in addition pecuniary consideration as a reimbursement for kindergarten expenditures (the kindergarten must be provided by other subject), this allowance is tax deductible only if this privilege is founded in employment contract, collective agreement or internal rules of procedure (Act No. 193/2008 Coll., section 24, para. 2, letter j, item 5). Considering non-monetary gains as a reimbursement for kindergarten expenditures, employees are exempt from income tax (Act. No 193/2008 Coll, section 6, para. 9, letter d), only when the employer provides them from a social and cultural needs fund, from a social fund, from after-tax profit (income) or to the debit of expenses (costs) that are not expenses (costs) to reach, secure and maintain income.

Part-time childcare

N/A.

7.2 Child-care benefits for formal centre-based care

The parental allowance.

7.2.1 Conditions for receipt

The parent is entitled to the parental allowance if he/she personally provides full-time and regular care for the child who is the youngest child in the family.

There are certain exceptions concerning disabled children or disabled parents, while receiving parental allowance it is possible to place the child under two years of age into a pre-school care facility for a limited period only. The condition of personal all day care is considered fulfilled if a child under two years of age attends a crèche or any other institution for less than 46 hours in a month. Children over two years can attend child care facilities without any restriction.

Parental allowance is also provided to parent who has income from gainful activity. But together with a condition of limited placement of a child under two years in a crèche or a kindergarten the other condition has to be met: during the gainful activity of a parent, care of a child has to be ensured by another adult person.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

Parental allowance is provided until the total amount of 220,000 CZK is drawn, the maximum length is up to 4 years of child's age.

A parent may select the amount of parental allowance and thus the period of its drawing under the condition that at least one parent in a family is a person participating in sickness insurance. The calculation of monthly amount of parental allowance is based on daily assessment base for determination of maternity benefit or sickness benefit related to child's confinement or adoption according to the act on sickness insurance. If 70 % of 30 multiple of daily assessment base is under or equal to CZK 7 600, the amount of parental allowance can get to CZK 7 600 at the most; if 70 % of 30 multiple of daily assessment base is higher than CZK 7 600, the maximum amount of parental allowance is limited by this figure; the amount of parental allowance can be up to CZK 11 500. When the daily assessment base can be determined for both parents, the higher one is used for calculation. Choice of the amount of parental allowance can be changed once in 3 month.

In the case that the daily assessment base cannot be set for any parent, parental allowance is paid at fixed monthly amounts of CZK 7 600 until the child reaches 10 months and after it at the amount of CZK 3 800 until the child is 48 months old.

7.2.2.2 Income and earnings disregards

The parent's income is not tested while receiving parental allowance.

7.2.3 Tax treatment of benefit and interaction with other benefits

Not taxable. Parental allowance can be received at the same time as in-work earning (see above), unemployment benefits, benefits of assistance in material need or benefits for disabled.

7.2.4 Treatment of particular groups

None.

7.3 Child care allowance for children not using child care centres

8. Employment-conditional benefits

None.

9. Lone-parent benefits

In the Czech Republic, there is neither specific social benefit taking into account situation of lone parents nor social benefit acting as a substitute for alimony/maintenance in cases when the absent parent does not pay any child support.

From the social and legal protection of children point of view: parents are provided with, or arrange for them to have, counselling while exercising the rights of the child to maintenance, at their request. Social-legal protection authorities may file court petitions for the performance of maintenance obligations.

Alimony/maintenance payments from the absent parent are taken into account for decisions on entitlement both to family benefits and social assistance. Received alimony/maintenance payments are included in the decisive income of the lone parent family for income-tested state social support benefits/family benefits (child allowance, birth grant, housing allowance) as well as for means-tested social assistance benefits /benefits of assistance in material need (allowance for living, supplement for housing). This method of income calculation has remained unchanged since the introduction of OECD tax-benefit models; the same approach was used also in the former system of social assistance.

10. Tax system

10.1 *Income tax rate schedule*

10.1.1 *Tax allowances and credits*

10.1.1.1 Standard allowances

10.1.1.2 Standard tax credits (per year)

- Credit of CZK 24 840 per taxpayer.
- Credit of CZK 24 840 per spouse (husband or wife) living with a taxpayer in one household provided that the spouse's own income does not exceed CZK 68 000 in the taxable period.
- *Credit for children:* Payable tax credit of CZK 13 404 (irrespective of the child's own income) if the child satisfies one or more of the following criteria:
 - age below 18
 - age below 26 and receiving full-time education
 - age below 26 and physically or mentally disabled provided that the child is not in receipt of a state disability pension payment.

10.1.2 *The definition of taxable income*

10.1.3 *The tax schedule*

From January 2008, a progressive system of taxation is replaced by a single rate of 15%, levied on gross earnings augmented with employer social security contributions.

10.2 *Treatment of family income*

The tax unit is the individual. The possibility of joint taxation, which was introduced in 2005, has been abolished since 2008.

10.3 *Social security contribution schedule*

Compulsory contributions of 11.0 per cent of gross wages and salaries are paid by all employees into government operated schemes. The total is made up as follows (in %):

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Contributions	Percentage of gross earnings		
	Employees	Employers	Total
Health insurance	4.50	9.00	13.50
Social insurance			
Sickness	0.00	2.30	2.30
Pension	6.50	21.50	28.00
State employment policy	0.00	1.20	1.20
Total	11.00	34.00	45.00

The total contribution for employers is 34 per cent of gross earnings.

The contribution consists of the health insurance contribution (9 per cent of gross wages and salaries) and social insurance (25 per cent).

Since 2012, there are two ceilings on social security contributions. The estimates of the ceiling on social security contributions are CZK 1 206 576 per year for social insurance (four times the average wage) and CZK 1 809 864 per year for health insurance (six times the average wage).

10.4 Treatment of particular group

10.4.1 Young persons

10.4.2 Older workers

10.4.3 Others if applicable

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. Part-time work

11.1 *Special benefit rules for part-time work*

None.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 *Policy changes enacted from 1st of July 2011 to 1st of July 2012*

In 2011 there was a reform of the pension schemes and the employment and social protection systems (Social Reform I., proposed and approved in 2011). The aim was to improve the functioning and effectiveness of social protection and employment systems, simplify them, increase the effectiveness of social transfers and to ensure a better targeting of the assistance to individuals who really need it, as well as to improve the effectiveness of the institutional framework of these systems. In the effort of securing a financial sustainability of these systems and maintaining a necessary social cohesion in the society, the adopted measures at the same time contributed to the Government's effort to reform and stabilize the public finances.

The changes in the area of social benefits from 1 January 2012 were led by the effort to have – thanks to increasing effectiveness – enough means for paying benefits to persons who really need them, primarily by means of reducing costs of the system administration. The tools for achieving these goals include introducing a single place for the payment of benefits (the Labour Office of the Czech Republic), reducing the number of benefits paid by their aggregation into bigger units, introducing an effective assessment of income of the applicants for benefits, payment of benefits through an electronic payment means, reducing the number of health assessment schemes and using modern and internationally acknowledged approaches to the health assessment.

In **assistance in material need**, the new legislation – besides transfer of the decision on the material need assistance benefits from municipalities to the Labour Office of the Czech Republic – ensures better targeting of assistance, tightening up the conditions for people who consciously avoid working, increasing the motivation of people in material need to change their unfavourable situation, develop their social and work habits for entering the labour market and seek employment, but also for instance to provide a higher assistance to families with children by means of paying the expenses of education, leisure activities and social and legal protection by means of extraordinary immediate assistance.

Changes in the **parental allowance** include the possibility for parents to flexibly change its amount and length of its reception were described above. The chance of a parent of a small child to reconcile the professional career with family life also increases due to the abolition of restriction on entitlement to parental allowance by the length of stay in a childcare institution for children over two years of age.

As regards **housing benefits**, a time limit was set up for granting the housing allowance and the supplement for housing to 84 months in the last 10 calendar years. This measure is to mitigate the risk of people falling into a social trap and at the same time prevent a loss of motivation to find an adequate housing.

Granting the **benefits to persons with disabilities** for mitigating the social impacts of disability and for supporting social inclusion is regulated by a new act, which became effective in January 2012. The Act reduced the number of existing benefits to two basic ones (allowance for mobility and grant for special aid) and authorized the Labour Office to decide on them (please see above for further details).

Since January 2012, the following changes regarding the **care allowance** were realized: increasing the monthly allowance from CZK 5 000 to CZK 6 000 for persons aged 1-18 years in the dependence degree II, enabling increase of the allowance by CZK 2 000 a month if the recipient is a parent of the dependent child under 18 or the dependent child itself and the income of the family does not exceed 2.0 multiple of the family's living minimum.

Changes were implemented also in the method of **assessing the unfavourable state of health** in determining the eligibility for benefits related to disability. Ten single areas of everyday life – basic living needs quoted in the International Classification of Functioning, Disability and Health are assessed. The unified scheme used for different benefits eliminates duplicities and for the disabled this means a more impartial and fairer assessment of their state of health. In connection with this innovation the social allowance that had been granted since 1 January 2011 only to families with a disabled member and the specific treatment of disabled children under the terms of parental allowance were cancelled and impacted families were compensated by the above mentioned increase in the care allowance.

Since 1 January 2012, the competencies of the Labour Office of the Czech Republic (established on 1 April 2011) have increased. Besides public employment services and granting the state social support benefits, the Labour Office of the Czech Republic with 14 regional branches and 423 contact places has administered also benefits for persons with disabilities, care allowance and benefits of assistance in material need (that means that the Labour Office is now in charge of all social benefits which are not based on insurance).

As of 1 January 2012, both the **amounts of living minimum** (i.e. also the limits of entitlements to income-tested benefits) and subsistence minimum amounts increased by 9 %.

Changes in the field of unemployment benefits

From 1st January 2012: The reference period for entitlement to unemployment benefits was shortened from 3 to 2 years. A job seeker is entitled to unemployment benefit if he/she has gained 12 months of insurance within the pension scheme on the basis of his/her employment or self-employment in the last 2 years preceding the registration.

The unemployment benefit is provided also to job seekers registered as full-time students who are at the same time eligible to draw unemployment benefits.

If the severance pay wasn't paid off, the Labour Office of the Czech Republic provides the compensation for unpaid severance pay, which is subsequently enforced from the employer by the Labour Office of the Czech Republic. The unemployment benefit will be provided to the job seeker following the expiry of the time period for which the compensation was provided.

Changes in the field of social contribution scheme

Since July 2011 no changes on the revenue side of social security schemes has been made.

12.2 Policy changes enacted or announced after 1st of July 2012

Ministry of Labour and Social Affairs has prepared a set of legislative proposals being a continuation of the Social Reform I. In the field of **social benefits**, the main goal of present reform steps is further simplification of the system, making the system less expensive and more efficient, better aiming and directness of social benefits and reduction of administrative burdens for clients. The most important proposal is a new concept of housing costs support consisting in unification of two benefits related to housing in one with stronger incentive elements. This legislation was elaborated as a part of Governmental bill changing tax, insurance and other acts in connection with decrease in public budget deficit. In addition to that certain adjustments in parental allowance and in benefits for people with disabilities were suggested. Proposals containing these changes in social benefit legislation were submitted to the Parliament. Most of the proposed changes are planned to be efficient not later than on January 1, 2013, new housing benefit on April 1, 2013.

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

With regard to Government's Policy Statement, legislative proposal containing measures supporting **reconciliation of work and family life** and creating better conditions for employment of parents with small children by development of childcare services (involving implementation of new types of childcare services and related measures in the field of taxation) was prepared by the Ministry of Labour and Social Affairs and submitted to the Government.